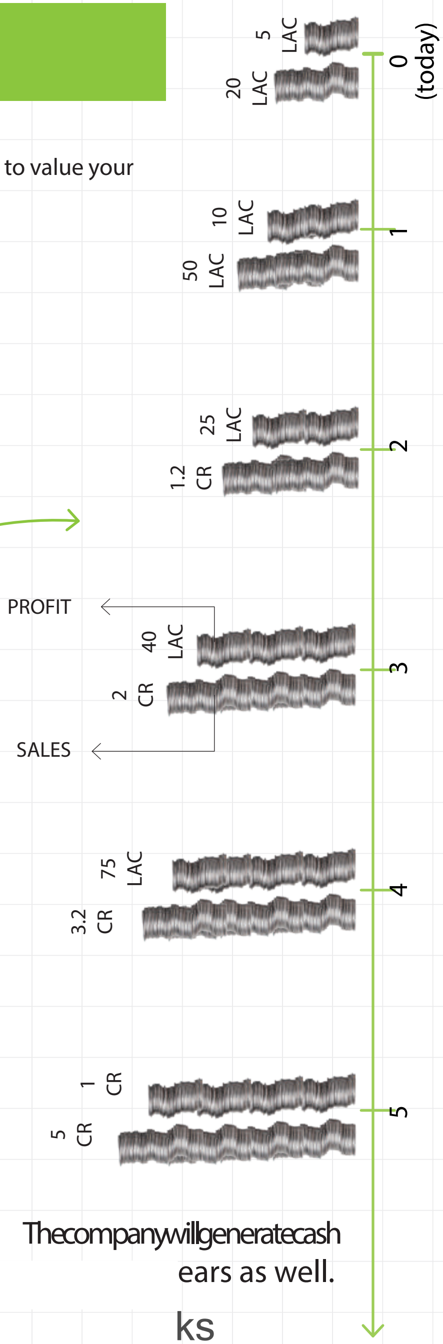
8.4 VALUATIONS: METHODS THAT STARTUP CAN USE - 2

In this section, we will talk about more methods to value your company. Lets us get started with these.

DISCOUNTED CASH FLOW (DCF)

The next method that we will discuss is Discounted cash flow (DCF). It's a method where you estimate what the company will generate in 1 year, 2 years, 3 years, 4 years, and 5 years from now and then values the company based on cash flows generated.



Let's say you forcast the following numbers :

Year 1: 50 lac sales with 10 lac profit
Year 2: 1.2 cr sales with 25 lac profit
Year 3: 2 cr sales with 40 lac profit
Year 4: 3.2 cr sales with 75 lac profit
Year 5: 5 cr sales with 1 cr profit

Thecompanywillgeneratecash
ears as well.

F ks